QUARTERLY INVESTOR REPORT

Pelican Cottages | Riverside, CA

Investment	Pelican Cottages
Quarter	1Q 2026
Report Date	February 29, 2024
Sponsor	Whitfield Park Capital
Occupancy	89.2%

Investment Overview

Leasing velocity improved during the period and management expects further upward pressure on in-place rents. Homes average 1,831 square feet with average monthly rent of $2,759. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. Projected levered IRR is 2.4% with an equity multiple of 1.35x over the hold period. The portfolio consists of detached single-family homes in a scattered-site pattern, each with attached garage and fenced yard.

Turn costs average $13,000 per home, and the in-house maintenance team handles most work orders within 6 days. Projected levered IRR is 7.9% with an equity multiple of 1.7x over the hold period. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. Homes average 1,831 square feet with average monthly rent of $2,759. The business plan contemplates a hold period of 7 years with disposition upon achievement of target returns.

Property Operations

Homes average 1,831 square feet with average monthly rent of $2,759. The manager completes a monthly walk of the property and submits a variance report to the owner by the 30th business day. Collections for the period were 91.7% of billed charges, with bad debt of 7.9% of gross potential income. Marketing efforts include digital listings, signage, broker outreach and a resident referral program.

Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Turn costs average $207,000 per home, and the in-house maintenance team handles most work orders within 27 days. Collections for the period were 89.0% of billed charges, with bad debt of 5.4% of gross potential income. The portfolio consists of detached single-family homes in a scattered-site pattern, each with attached garage and fenced yard. Marketing efforts include digital listings, signage, broker outreach and a resident referral program.

Investor Distributions

Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. Distributions to investors for the quarter were paid at an annualized rate of 3.7% on contributed capital. Leasing velocity improved during the period and management expects further upward pressure on in-place rents. Projected levered IRR is 7.8% with an equity multiple of 1.42x over the hold period. The portfolio consists of detached single-family homes in a scattered-site pattern, each with attached garage and fenced yard. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market.

Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. Distributions to investors for the quarter were paid at an annualized rate of 4.8% on contributed capital. The portfolio consists of detached single-family homes in a scattered-site pattern, each with attached garage and fenced yard. Homes average 1,831 square feet with average monthly rent of $2,759.

Leasing and Marketing

Homes average 1,831 square feet with average monthly rent of $2,759. The manager completes a monthly walk of the property and submits a variance report to the owner by the 29th business day. Collections for the period were 92.1% of billed charges, with bad debt of 3.7% of gross potential income. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Turn costs average $16,000 per home, and the in-house maintenance team handles most work orders within 6 days.

FICTITIOUS SAMPLE DOCUMENT — all names, figures and entities are invented for classroom training use only

Investment Overview

Distributions to investors for the quarter were paid at an annualized rate of 5.6% on contributed capital. The portfolio consists of detached single-family homes in a scattered-site pattern, each with attached garage and fenced yard. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. The business plan contemplates a hold period of 8 years with disposition upon achievement of target returns.

The portfolio consists of detached single-family homes in a scattered-site pattern, each with attached garage and fenced yard. Distributions to investors for the quarter were paid at an annualized rate of 4.2% on contributed capital. Turn costs average $33,000 per home, and the in-house maintenance team handles most work orders within 13 days. The business plan contemplates a hold period of 8 years with disposition upon achievement of target returns.

Leasing and Marketing

On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 13 additional team members. The manager completes a monthly walk of the property and submits a variance report to the owner by the 38th business day. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Turn costs average $258,000 per home, and the in-house maintenance team handles most work orders within 19 days. Homes average 1,831 square feet with average monthly rent of $2,759.

Turn costs average $453,000 per home, and the in-house maintenance team handles most work orders within 26 days. Homes average 1,831 square feet with average monthly rent of $2,759. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 33 additional team members. The portfolio consists of detached single-family homes in a scattered-site pattern, each with attached garage and fenced yard.

Risk Considerations

Homes average 1,831 square feet with average monthly rent of $2,759. Projected levered IRR is 9.4% with an equity multiple of 1.20x over the hold period. The portfolio consists of detached single-family homes in a scattered-site pattern, each with attached garage and fenced yard. Leasing velocity improved during the period and management expects further upward pressure on in-place rents. The business plan contemplates a hold period of 4 years with disposition upon achievement of target returns. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market.

Leasing velocity improved during the period and management expects further upward pressure on in-place rents. Turn costs average $436,000 per home, and the in-house maintenance team handles most work orders within 9 days. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. Homes average 1,831 square feet with average monthly rent of $2,759. Distributions to investors for the quarter were paid at an annualized rate of 6.1% on contributed capital. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market.

Leasing and Marketing

Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Homes average 1,831 square feet with average monthly rent of $2,759. Turn costs average $8,000 per home, and the in-house maintenance team handles most work orders within 25 days. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 46 additional team members.

Homes average 1,831 square feet with average monthly rent of $2,759. Collections for the period were 92.6% of billed charges, with bad debt of 4.3% of gross potential income. The portfolio consists of detached single-family homes in a scattered-site pattern, each with attached garage and fenced yard. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 9 additional team members. Turn costs average $187,000 per home, and the in-house maintenance team handles most work orders within 28 days. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period.

Risk Considerations

Leasing velocity improved during the period and management expects further upward pressure on in-place rents. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. Projected levered IRR is 4.3% with an equity multiple of 1.18x over the hold period. Turn costs average $290,000 per home, and the in-house maintenance team handles most work orders within 18 days. Distributions to investors for the quarter were paid at an annualized rate of 7.4% on contributed capital. Homes average 1,831 square feet with average monthly rent of $2,759.

FICTITIOUS SAMPLE DOCUMENT — all names, figures and entities are invented for classroom training use only

Capital Project Schedule

Project	Category	Start	Completion	Budget	Spent to Date	Status
Security camera upgrade	Life Safety	03/08/23	Q4 2025	$122,000	$5,053	Approved
Fire alarm panel upgrade	Energy	08/06/23	Q1 2025	$706,000	$99,319	Bidding
Signage / monument	Energy	10/18/24	Q3 2026	$301,000	$119,984	Approved
HVAC replacement	Site	01/07/25	Q1 2027	$95,000	$41,684	In progress
Signage / monument	Energy	06/21/26	Q3 2027	$743,000	$524,085	In progress
LED lighting retrofit	Life Safety	08/20/26	Q4 2027	$799,000	$450,282	Complete
Sewer line repair	Site	09/30/23	Q3 2026	$51,000	$21,883	Deferred
Parking lot resurfacing	Site	04/18/23	Q2 2027	$814,000	$837,228	Bidding
LED lighting retrofit	Life Safety	12/09/26	Q1 2025	$859,000	$491,408	Bidding
Elevator modernization	Life Safety	12/06/23	Q1 2025	$422,000	$301,669	In progress
Signage / monument	Interior	02/28/24	Q2 2027	$38,000	$39,888	Bidding
Fire alarm panel upgrade	Interior	01/09/25	Q4 2025	$46,000	$5,511	Deferred
HVAC replacement	Building	02/07/24	Q1 2025	$684,000	$602,231	Approved
Exterior paint	Building	10/02/25	Q4 2026	$552,000	$186,528	Deferred
Storefront glazing	Site	06/14/23	Q1 2027	$624,000	$492,363	Bidding
Water heater replacement	Energy	09/21/26	Q4 2027	$698,000	$200,510	Bidding
Pool resurfacing	Interior	07/22/23	Q3 2027	$37,000	$15,966	Complete
Fence replacement	Energy	09/27/24	Q1 2026	$868,000	$434,313	In progress
Signage / monument	Energy	04/02/25	Q3 2026	$31,000	$16,970	Deferred
Door hardware	Site	02/13/24	Q2 2026	$198,000	$100,904	Complete
Amenity renovation	Interior	09/04/26	Q2 2026	$577,000	$276,126	Approved
Amenity renovation	Life Safety	10/06/26	Q2 2027	$184,000	$67,560	Complete
Storefront glazing	Energy	01/16/24	Q2 2026	$413,000	$164,389	Bidding
Parking lot resurfacing	Building	10/27/23	Q3 2025	$602,000	$54,761	Deferred
Elevator modernization	Energy	08/24/24	Q2 2026	$502,000	$14,444	Complete
Pool resurfacing	Site	03/04/24	Q4 2027	$334,000	$7,359	Complete
Amenity renovation	Interior	11/13/23	Q3 2026	$753,000	$596,510	Bidding
Water heater replacement	Life Safety	11/21/24	Q4 2027	$543,000	$271,139	Approved
Signage / monument	Life Safety	07/04/25	Q3 2026	$447,000	$456,213	Bidding
Fence replacement	Life Safety	11/10/24	Q1 2026	$794,000	$497,701	Bidding
Signage / monument	Life Safety	02/26/25	Q3 2027	$86,000	$80,590	Complete
Fire alarm panel upgrade	Interior	06/17/23	Q1 2025	$853,000	$6,886	In progress
Exterior paint	Site	02/06/25	Q2 2026	$131,000	$82,917	Deferred
Water heater replacement	Life Safety	10/19/26	Q1 2025	$474,000	$444,886	In progress
Roof replacement - Bldg A	Building	04/25/23	Q4 2026	$612,000	$533,636	In progress
Signage / monument	Energy	08/14/25	Q1 2025	$299,000	$292,136	Deferred
Security camera upgrade	Energy	11/07/23	Q1 2027	$669,000	$510,389	Deferred
Lobby renovation	Life Safety	10/30/24	Q3 2026	$724,000	$695,287	Complete
Pool resurfacing	Building	08/09/24	Q1 2027	$538,000	$413,938	Complete
Security camera upgrade	Site	01/31/25	Q3 2026	$159,000	$157,158	Complete
Exterior paint	Interior	05/17/23	Q2 2026	$161,000	$44,816	In progress

Report generated 02/29/2024. Figures are unaudited and subject to change.

FICTITIOUS SAMPLE DOCUMENT — all names, figures and entities are invented for classroom training use only

Income and Expense Review

Turn costs average $28,000 per home, and the in-house maintenance team handles most work orders within 46 days. The going-in capitalization rate of 7.82% reflects the in-place income and the stabilized occupancy assumption. Net operating income is projected to grow at a compound annual rate of 6.4% over the hold period. Debt service coverage ratio was 7.30x on a trailing basis against a covenant minimum of 1.20x.

Effective gross income for the trailing period was $245,000, representing a 6.5% increase over the prior year. Operating expenses totaled $269,000 or approximately 46.31 per square foot, with real estate taxes representing the largest line item. The portfolio consists of detached single-family homes in a scattered-site pattern, each with attached garage and fenced yard. Homes average 1,831 square feet with average monthly rent of $2,759. Management fees are calculated at 6.1% of collected revenue and are included in operating expenses.

Submarket Analysis

Median household income within a 9-mile radius of the property is approximately $318,000 and has grown 6.5% annually. Turn costs average $291,000 per home, and the in-house maintenance team handles most work orders within 11 days. Pelican Cottages is located in Riverside, CA, a market that has recorded 2.0% population growth over the last five years. Rent growth in the submarket has averaged 7.8% annually over the past 6 years. Employment growth is led by healthcare, logistics, education and professional services sectors. Market vacancy for comparable Single-Family Rental product stands at 4.9%, down from 7.3% two years ago.

Median household income within a 8-mile radius of the property is approximately $292,000 and has grown 9.7% annually. Employment growth is led by healthcare, logistics, education and professional services sectors. The portfolio consists of detached single-family homes in a scattered-site pattern, each with attached garage and fenced yard. Rent growth in the submarket has averaged 7.9% annually over the past 3 years. New construction starts have decelerated due to higher financing costs and tighter lending standards, which supports the existing supply.

Operating Performance

A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Homes average 1,831 square feet with average monthly rent of $2,759. Turn costs average $144,000 per home, and the in-house maintenance team handles most work orders within 35 days. Management fees are calculated at 5.0% of collected revenue and are included in operating expenses.

The going-in capitalization rate of 6.41% reflects the in-place income and the stabilized occupancy assumption. Debt service coverage ratio was 5.36x on a trailing basis against a covenant minimum of 1.20x. The portfolio consists of detached single-family homes in a scattered-site pattern, each with attached garage and fenced yard. Homes average 1,831 square feet with average monthly rent of $2,759. Management fees are calculated at 5.8% of collected revenue and are included in operating expenses.

Supply and Demand

Market vacancy for comparable Single-Family Rental product stands at 6.9%, down from 5.5% two years ago. Rent growth in the submarket has averaged 4.7% annually over the past 3 years. Homes average 1,831 square feet with average monthly rent of $2,759. Investor demand for Single-Family Rental assets in Riverside remains strong with recent trades at capitalization rates between 7.20% and 7.20%. Employment growth is led by healthcare, logistics, education and professional services sectors. Pelican Cottages is located in Riverside, CA, a market that has recorded 13.6% population growth over the last five years.

The Riverside Single-Family Rental market has experienced absorption of 1300 thousand square feet or equivalent units over the trailing twelve months, outpacing new deliveries. Median household income within a 4-mile radius of the property is approximately $370,000 and has grown 5.0% annually. Market vacancy for comparable Single-Family Rental product stands at 4.2%, down from 7.8% two years ago. New construction starts have decelerated due to higher financing costs and tighter lending standards, which supports the existing supply. Turn costs average $385,000 per home, and the in-house maintenance team handles most work orders within 9 days.

Operating Performance

A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Turn costs average $205,000 per home, and the in-house maintenance team handles most work orders within 25 days. Effective gross income for the trailing period was $459,000, representing a 5.9% increase over the prior year. The portfolio consists of detached single-family homes in a scattered-site pattern, each with attached garage and fenced yard. Management fees are calculated at 7.3% of collected revenue and are included in operating expenses.

FICTITIOUS SAMPLE DOCUMENT — all names, figures and entities are invented for classroom training use only

Annual Operating Budget by Account

Account	Prior Yr Actual	Prior Yr Budget	Current Budget	Variance $	Variance %	Per Unit/SF
5000 Gross Potential Rent	$14,834	$14,493	$15,391	$558	3.8%	$160.33
5010 Loss to Lease	$113,884	$110,819	$115,391	$1,506	1.3%	$1,201.99
5020 Vacancy Loss	$203,859	$208,091	$211,333	$7,474	3.7%	$2,201.39
5030 Concessions	$22,293	$21,755	$22,292	-$1	-0.0%	$232.20
5040 Bad Debt	$192,109	$182,677	$188,415	-$3,694	-1.9%	$1,962.65
5050 Late Fees	$71,744	$73,578	$77,871	$6,127	8.5%	$811.15
5060 Utility Reimbursements	$141,818	$147,844	$150,766	$8,948	6.3%	$1,570.48
5070 Parking Income	$94,479	$96,167	$96,439	$1,960	2.1%	$1,004.58
5080 Application Fees	$111,040	$102,430	$109,266	-$1,774	-1.6%	$1,138.18
5090 Pet Rent	$162,156	$168,060	$179,554	$17,399	10.7%	$1,870.36
5100 Laundry Income	$176,428	$164,628	$170,219	-$6,208	-3.5%	$1,773.12
5110 Cable/Internet Revenue	$29,211	$28,718	$28,921	-$290	-1.0%	$301.27
5120 CAM Reimbursements	$131,400	$129,330	$136,710	$5,310	4.0%	$1,424.06
5130 Tax Reimbursements	$77,442	$74,064	$77,760	$319	0.4%	$810.00
5140 Insurance Reimbursements	$109,194	$113,801	$117,049	$7,856	7.2%	$1,219.26
5150 Percentage Rent	$161,466	$151,220	$155,131	-$6,335	-3.9%	$1,615.95
5160 Misc. Income	$140,704	$148,978	$150,910	$10,206	7.3%	$1,571.98
5170 Payroll - Management	$178,716	$190,450	$194,857	$16,141	9.0%	$2,029.76
5180 Payroll - Leasing	$196,783	$205,328	$219,336	$22,554	11.5%	$2,284.75
5190 Payroll - Maintenance	$14,566	$13,530	$14,178	-$387	-2.7%	$147.69
5200 Payroll Taxes & Benefits	$200,206	$188,143	$193,750	-$6,456	-3.2%	$2,018.23
5210 Repairs - Plumbing	$76,812	$72,835	$74,950	-$1,862	-2.4%	$780.73
5220 Repairs - HVAC	$18,013	$17,250	$17,701	-$311	-1.7%	$184.39
5230 Repairs - Electrical	$65,243	$61,775	$63,984	-$1,259	-1.9%	$666.50
5240 Repairs - Appliances	$136,881	$132,227	$138,261	$1,380	1.0%	$1,440.22
5250 Painting & Decorating	$54,840	$54,127	$56,729	$1,888	3.4%	$590.92
5260 Flooring	$64,897	$63,282	$63,520	-$1,377	-2.1%	$661.67
5270 Make-Ready / Turnover	$92,426	$94,204	$97,811	$5,385	5.8%	$1,018.87
5280 Landscaping Contract	$181,398	$178,001	$189,220	$7,821	4.3%	$1,971.04
5290 Snow Removal	$83,109	$85,818	$87,664	$4,555	5.5%	$913.17
5300 Janitorial	$81,959	$88,467	$89,283	$7,324	8.9%	$930.03
5310 Pest Control	$248,897	$247,458	$264,237	$15,340	6.2%	$2,752.47
5320 Trash Removal	$242,462	$260,784	$267,238	$24,776	10.2%	$2,783.73
5330 Elevator Contract	$194,113	$208,657	$211,249	$17,136	8.8%	$2,200.51
5340 Fire & Life Safety	$185,319	$188,716	$194,619	$9,299	5.0%	$2,027.28
5350 Security	$197,732	$186,513	$196,454	-$1,278	-0.6%	$2,046.39
5360 Electricity - Common	$165,900	$163,233	$164,538	-$1,362	-0.8%	$1,713.93
5370 Gas - Common	$96,074	$95,619	$96,289	$216	0.2%	$1,003.02
5380 Water & Sewer	$211,759	$227,441	$238,696	$26,937	12.7%	$2,486.41
5390 Telephone/Internet	$210,519	$218,624	$231,661	$21,142	10.0%	$2,413.13

Report generated 02/29/2024. Figures are unaudited and subject to change.

FICTITIOUS SAMPLE DOCUMENT — all names, figures and entities are invented for classroom training use only

Business Plan Progress

Leasing velocity improved during the period and management expects further upward pressure on in-place rents. The portfolio consists of detached single-family homes in a scattered-site pattern, each with attached garage and fenced yard. The business plan contemplates a hold period of 12 years with disposition upon achievement of target returns. Turn costs average $130,000 per home, and the in-house maintenance team handles most work orders within 8 days. Homes average 1,831 square feet with average monthly rent of $2,759. Projected levered IRR is 5.4% with an equity multiple of 1.35x over the hold period.

Projected levered IRR is 10.6% with an equity multiple of 1.30x over the hold period. The business plan contemplates a hold period of 12 years with disposition upon achievement of target returns. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. Distributions to investors for the quarter were paid at an annualized rate of 3.2% on contributed capital.

Management Commentary

Homes average 1,831 square feet with average monthly rent of $2,759. The portfolio consists of detached single-family homes in a scattered-site pattern, each with attached garage and fenced yard. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Service requests are tracked through a work-order system with an average completion time of 46 hours. The manager completes a monthly walk of the property and submits a variance report to the owner by the 25th business day.

The manager completes a monthly walk of the property and submits a variance report to the owner by the 42th business day. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Turn costs average $200,000 per home, and the in-house maintenance team handles most work orders within 39 days. Service requests are tracked through a work-order system with an average completion time of 34 hours. The portfolio consists of detached single-family homes in a scattered-site pattern, each with attached garage and fenced yard.

Investor Distributions

Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. Distributions to investors for the quarter were paid at an annualized rate of 3.2% on contributed capital. The portfolio consists of detached single-family homes in a scattered-site pattern, each with attached garage and fenced yard. The business plan contemplates a hold period of 5 years with disposition upon achievement of target returns. Turn costs average $293,000 per home, and the in-house maintenance team handles most work orders within 40 days. Projected levered IRR is 9.7% with an equity multiple of 1.25x over the hold period.

The portfolio consists of detached single-family homes in a scattered-site pattern, each with attached garage and fenced yard. Distributions to investors for the quarter were paid at an annualized rate of 3.0% on contributed capital. Turn costs average $471,000 per home, and the in-house maintenance team handles most work orders within 14 days. Homes average 1,831 square feet with average monthly rent of $2,759. Leasing velocity improved during the period and management expects further upward pressure on in-place rents.

Property Operations

Service requests are tracked through a work-order system with an average completion time of 36 hours. Turn costs average $85,000 per home, and the in-house maintenance team handles most work orders within 28 days. Collections for the period were 89.1% of billed charges, with bad debt of 3.0% of gross potential income. The portfolio consists of detached single-family homes in a scattered-site pattern, each with attached garage and fenced yard. The manager completes a monthly walk of the property and submits a variance report to the owner by the 47th business day. Homes average 1,831 square feet with average monthly rent of $2,759.

Collections for the period were 88.0% of billed charges, with bad debt of 4.4% of gross potential income. Turn costs average $109,000 per home, and the in-house maintenance team handles most work orders within 27 days. Service requests are tracked through a work-order system with an average completion time of 46 hours. The manager completes a monthly walk of the property and submits a variance report to the owner by the 6th business day. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 20 additional team members.

Investment Overview

FICTITIOUS SAMPLE DOCUMENT — all names, figures and entities are invented for classroom training use only

Capital Project Schedule

Project	Category	Start	Completion	Budget	Spent to Date	Status
Fire alarm panel upgrade	Site	04/19/26	Q1 2025	$698,000	$565,073	Approved
LED lighting retrofit	Life Safety	08/31/23	Q2 2026	$359,000	$55,356	Approved
Parking lot resurfacing	Building	09/03/24	Q1 2025	$676,000	$476,428	Deferred
Security camera upgrade	Interior	08/19/24	Q4 2025	$805,000	$379,140	Deferred
Roof replacement - Bldg D	Site	06/09/26	Q1 2025	$586,000	$588,294	Approved
Door hardware	Site	09/10/25	Q4 2025	$437,000	$186,965	Complete
ADA compliance	Energy	02/19/26	Q2 2026	$529,000	$146,402	In progress
Roof replacement - Bldg D	Energy	05/18/25	Q1 2026	$510,000	$400,087	In progress
Amenity renovation	Life Safety	11/07/23	Q2 2026	$725,000	$748,739	Complete
Parking lot resurfacing	Site	07/05/26	Q3 2025	$189,000	$31,404	Approved
Parking lot resurfacing	Energy	01/31/26	Q4 2025	$583,000	$14,858	Complete
Fire alarm panel upgrade	Interior	03/05/26	Q3 2026	$677,000	$375,095	In progress
Landscape / irrigation	Energy	09/30/25	Q3 2025	$594,000	$8,184	Deferred
Security camera upgrade	Life Safety	10/08/23	Q1 2027	$369,000	$346,989	Deferred
Fence replacement	Site	10/14/26	Q3 2026	$170,000	$30,266	Approved
Amenity renovation	Site	03/14/24	Q3 2027	$780,000	$483,782	Bidding
Pool resurfacing	Interior	09/01/25	Q3 2027	$547,000	$374,179	Deferred
Amenity renovation	Building	05/16/25	Q2 2027	$460,000	$116,452	Deferred
Unit interior upgrades	Energy	12/23/23	Q4 2026	$640,000	$348,761	Approved
Roof replacement - Bldg B	Energy	05/27/23	Q1 2026	$492,000	$42,910	In progress
Security camera upgrade	Interior	08/01/25	Q3 2025	$129,000	$16,199	In progress
Parking lot resurfacing	Interior	06/13/25	Q2 2025	$38,000	$16,791	Complete
ADA compliance	Interior	10/11/24	Q4 2027	$25,000	$5,883	Approved
Roof replacement - Bldg C	Site	04/10/26	Q1 2026	$363,000	$372,992	Approved
HVAC replacement	Energy	08/06/23	Q3 2026	$602,000	$630,753	In progress
Lobby renovation	Interior	05/20/26	Q1 2026	$739,000	$155,693	Complete
Lobby renovation	Life Safety	02/22/23	Q2 2026	$381,000	$328,007	Approved
Fence replacement	Building	04/28/24	Q2 2025	$705,000	$427,224	Approved
Lobby renovation	Life Safety	08/07/24	Q3 2027	$229,000	$174,751	Deferred
Fence replacement	Interior	04/03/24	Q4 2027	$588,000	$362,793	Approved
Fence replacement	Life Safety	11/22/24	Q4 2027	$840,000	$66,507	Bidding
Elevator modernization	Building	01/25/23	Q3 2027	$140,000	$29,008	Bidding
Exterior paint	Building	08/19/26	Q1 2026	$97,000	$95,633	Deferred
Fence replacement	Building	06/14/23	Q1 2026	$717,000	$553,319	Complete
Landscape / irrigation	Life Safety	11/03/24	Q1 2026	$565,000	$15,092	Bidding
Lobby renovation	Life Safety	08/28/25	Q4 2025	$600,000	$324,735	Deferred
Water heater replacement	Interior	04/03/25	Q2 2027	$235,000	$215,088	In progress
Water heater replacement	Life Safety	08/11/26	Q1 2025	$634,000	$129,761	In progress
Signage / monument	Energy	11/13/23	Q1 2025	$195,000	$82,605	In progress
Fire alarm panel upgrade	Energy	11/01/24	Q4 2025	$679,000	$494,332	Deferred

Report generated 02/29/2024. Figures are unaudited and subject to change.

FICTITIOUS SAMPLE DOCUMENT — all names, figures and entities are invented for classroom training use only

Valuation Discussion

A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. The going-in capitalization rate of 5.92% reflects the in-place income and the stabilized occupancy assumption. Turn costs average $401,000 per home, and the in-house maintenance team handles most work orders within 23 days. Management fees are calculated at 5.0% of collected revenue and are included in operating expenses. Homes average 1,831 square feet with average monthly rent of $2,759. Net operating income is projected to grow at a compound annual rate of 6.5% over the hold period.

The going-in capitalization rate of 5.65% reflects the in-place income and the stabilized occupancy assumption. Turn costs average $330,000 per home, and the in-house maintenance team handles most work orders within 34 days. Operating expenses totaled $406,000 or approximately 6.89 per square foot, with real estate taxes representing the largest line item. Effective gross income for the trailing period was $69,000, representing a 3.1% increase over the prior year. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income.

Market Overview

Investor demand for Single-Family Rental assets in Riverside remains strong with recent trades at capitalization rates between 6.13% and 6.13%. Rent growth in the submarket has averaged 3.7% annually over the past 5 years. The Riverside Single-Family Rental market has experienced absorption of 4400 thousand square feet or equivalent units over the trailing twelve months, outpacing new deliveries. Median household income within a 5-mile radius of the property is approximately $192,000 and has grown 2.8% annually.

The portfolio consists of detached single-family homes in a scattered-site pattern, each with attached garage and fenced yard. Investor demand for Single-Family Rental assets in Riverside remains strong with recent trades at capitalization rates between 7.66% and 7.66%. New construction starts have decelerated due to higher financing costs and tighter lending standards, which supports the existing supply. Pelican Cottages is located in Riverside, CA, a market that has recorded 12.1% population growth over the last five years. Rent growth in the submarket has averaged 7.1% annually over the past 10 years. Turn costs average $196,000 per home, and the in-house maintenance team handles most work orders within 31 days.

Operating Performance

The portfolio consists of detached single-family homes in a scattered-site pattern, each with attached garage and fenced yard. Homes average 1,831 square feet with average monthly rent of $2,759. Operating expenses totaled $363,000 or approximately 22.24 per square foot, with real estate taxes representing the largest line item. Debt service coverage ratio was 5.19x on a trailing basis against a covenant minimum of 1.20x. Net operating income is projected to grow at a compound annual rate of 6.5% over the hold period. Management fees are calculated at 6.6% of collected revenue and are included in operating expenses.

Debt service coverage ratio was 5.54x on a trailing basis against a covenant minimum of 1.20x. The going-in capitalization rate of 7.13% reflects the in-place income and the stabilized occupancy assumption. Turn costs average $255,000 per home, and the in-house maintenance team handles most work orders within 25 days. Operating expenses totaled $419,000 or approximately 41.44 per square foot, with real estate taxes representing the largest line item. Management fees are calculated at 4.7% of collected revenue and are included in operating expenses. Homes average 1,831 square feet with average monthly rent of $2,759.

Demographics and Employment

Investor demand for Single-Family Rental assets in Riverside remains strong with recent trades at capitalization rates between 5.36% and 5.36%. Turn costs average $88,000 per home, and the in-house maintenance team handles most work orders within 19 days. Median household income within a 7-mile radius of the property is approximately $80,000 and has grown 4.1% annually. Rent growth in the submarket has averaged 6.6% annually over the past 3 years. The portfolio consists of detached single-family homes in a scattered-site pattern, each with attached garage and fenced yard. Pelican Cottages is located in Riverside, CA, a market that has recorded 6.8% population growth over the last five years.

The Riverside Single-Family Rental market has experienced absorption of 2400 thousand square feet or equivalent units over the trailing twelve months, outpacing new deliveries. Employment growth is led by healthcare, logistics, education and professional services sectors. Investor demand for Single-Family Rental assets in Riverside remains strong with recent trades at capitalization rates between 7.02% and 7.02%. Rent growth in the submarket has averaged 6.4% annually over the past 3 years. Median household income within a 8-mile radius of the property is approximately $323,000 and has grown 12.4% annually.

Income and Expense Review

FICTITIOUS SAMPLE DOCUMENT — all names, figures and entities are invented for classroom training use only

Annual Operating Budget by Account

Account	Prior Yr Actual	Prior Yr Budget	Current Budget	Variance $	Variance %	Per Unit/SF
5420 Office Supplies	$26,233	$24,504	$25,695	-$538	-2.1%	$267.66
5430 Legal & Professional	$36,254	$34,754	$37,018	$764	2.1%	$385.60
5440 Accounting & Audit	$54,868	$54,005	$56,240	$1,372	2.5%	$585.83
5450 Licenses & Permits	$73,170	$67,377	$71,775	-$1,395	-1.9%	$747.66
5460 Management Fee	$98,832	$94,956	$95,585	-$3,247	-3.3%	$995.68
5470 Property Insurance	$146,096	$148,767	$149,286	$3,189	2.2%	$1,555.06
5480 Real Estate Taxes	$168,251	$162,041	$163,578	-$4,674	-2.8%	$1,703.93
5490 Asset Management Fee	$89,643	$93,642	$99,818	$10,175	11.4%	$1,039.77
5500 Replacement Reserves	$120,011	$123,877	$127,123	$7,112	5.9%	$1,324.19
5510 Roof Repairs	$154,875	$145,633	$152,168	-$2,706	-1.7%	$1,585.09
5520 Parking Lot Repairs	$12,465	$13,052	$13,808	$1,343	10.8%	$143.83
5530 Signage	$210,592	$207,037	$209,635	-$957	-0.5%	$2,183.70
5540 Tenant Improvements	$54,179	$57,666	$61,668	$7,489	13.8%	$642.37
5550 Leasing Commissions	$76,783	$79,698	$82,774	$5,991	7.8%	$862.23
5000 Gross Potential Rent	$257,615	$249,952	$250,187	-$7,427	-2.9%	$2,606.12
5010 Loss to Lease	$83,727	$85,805	$91,163	$7,437	8.9%	$949.62
5020 Vacancy Loss	$231,978	$222,743	$227,061	-$4,917	-2.1%	$2,365.22
5030 Concessions	$175,978	$162,215	$169,670	-$6,307	-3.6%	$1,767.40
5040 Bad Debt	$260,704	$242,367	$253,110	-$7,594	-2.9%	$2,636.56
5050 Late Fees	$44,059	$47,357	$50,337	$6,278	14.2%	$524.34
5060 Utility Reimbursements	$96,286	$95,119	$97,266	$979	1.0%	$1,013.19
5070 Parking Income	$147,372	$149,737	$153,925	$6,553	4.4%	$1,603.39
5080 Application Fees	$244,021	$234,146	$242,768	-$1,254	-0.5%	$2,528.83
5090 Pet Rent	$88,707	$85,929	$90,195	$1,488	1.7%	$939.53
5100 Laundry Income	$122,906	$118,079	$118,356	-$4,551	-3.7%	$1,232.87
5110 Cable/Internet Revenue	$115,357	$114,424	$117,338	$1,981	1.7%	$1,222.27
5120 CAM Reimbursements	$112,014	$119,312	$123,455	$11,441	10.2%	$1,285.99
5130 Tax Reimbursements	$70,487	$72,511	$76,152	$5,665	8.0%	$793.25
5140 Insurance Reimbursements	$163,698	$161,178	$171,864	$8,166	5.0%	$1,790.25
5150 Percentage Rent	$234,166	$224,419	$231,337	-$2,828	-1.2%	$2,409.76
5160 Misc. Income	$63,434	$64,279	$66,128	$2,693	4.2%	$688.83
5170 Payroll - Management	$50,928	$51,481	$53,735	$2,807	5.5%	$559.74
5180 Payroll - Leasing	$100,052	$94,209	$96,160	-$3,893	-3.9%	$1,001.66
5190 Payroll - Maintenance	$27,196	$28,319	$29,483	$2,287	8.4%	$307.12
5200 Payroll Taxes & Benefits	$53,898	$53,653	$56,657	$2,760	5.1%	$590.18
5210 Repairs - Plumbing	$175,836	$162,511	$171,990	-$3,846	-2.2%	$1,791.56
5220 Repairs - HVAC	$46,295	$45,685	$48,301	$2,006	4.3%	$503.14
5230 Repairs - Electrical	$48,461	$45,723	$47,920	-$542	-1.1%	$499.16
5240 Repairs - Appliances	$137,576	$134,674	$143,889	$6,313	4.6%	$1,498.85
5250 Painting & Decorating	$133,173	$131,708	$139,571	$6,398	4.8%	$1,453.86
5260 Flooring	$97,226	$103,161	$105,798	$8,572	8.8%	$1,102.06
5270 Make-Ready / Turnover	$106,506	$107,805	$110,274	$3,768	3.5%	$1,148.69

Report generated 02/29/2024. Figures are unaudited and subject to change.

FICTITIOUS SAMPLE DOCUMENT — all names, figures and entities are invented for classroom training use only

Investor Distributions

The business plan contemplates a hold period of 4 years with disposition upon achievement of target returns. Distributions to investors for the quarter were paid at an annualized rate of 4.9% on contributed capital. Homes average 1,831 square feet with average monthly rent of $2,759. The portfolio consists of detached single-family homes in a scattered-site pattern, each with attached garage and fenced yard.

The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. Distributions to investors for the quarter were paid at an annualized rate of 4.9% on contributed capital. Homes average 1,831 square feet with average monthly rent of $2,759. The portfolio consists of detached single-family homes in a scattered-site pattern, each with attached garage and fenced yard. The business plan contemplates a hold period of 7 years with disposition upon achievement of target returns. Projected levered IRR is 4.3% with an equity multiple of 1.12x over the hold period.

Leasing and Marketing

The manager completes a monthly walk of the property and submits a variance report to the owner by the 42th business day. Turn costs average $244,000 per home, and the in-house maintenance team handles most work orders within 47 days. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Collections for the period were 90.8% of billed charges, with bad debt of 4.0% of gross potential income. Marketing efforts include digital listings, signage, broker outreach and a resident referral program.

The manager completes a monthly walk of the property and submits a variance report to the owner by the 38th business day. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 47 additional team members. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Service requests are tracked through a work-order system with an average completion time of 19 hours.

Risk Considerations

The business plan contemplates a hold period of 12 years with disposition upon achievement of target returns. Turn costs average $89,000 per home, and the in-house maintenance team handles most work orders within 37 days. Projected levered IRR is 6.5% with an equity multiple of 1.20x over the hold period. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. Leasing velocity improved during the period and management expects further upward pressure on in-place rents.

Distributions to investors for the quarter were paid at an annualized rate of 3.5% on contributed capital. Leasing velocity improved during the period and management expects further upward pressure on in-place rents. The business plan contemplates a hold period of 11 years with disposition upon achievement of target returns. Homes average 1,831 square feet with average monthly rent of $2,759.

Leasing and Marketing

Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Collections for the period were 90.2% of billed charges, with bad debt of 4.1% of gross potential income. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Service requests are tracked through a work-order system with an average completion time of 13 hours. The manager completes a monthly walk of the property and submits a variance report to the owner by the 12th business day.

The manager completes a monthly walk of the property and submits a variance report to the owner by the 39th business day. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Service requests are tracked through a work-order system with an average completion time of 10 hours. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 2 additional team members.

Risk Considerations

Projected levered IRR is 6.0% with an equity multiple of 1.30x over the hold period. Leasing velocity improved during the period and management expects further upward pressure on in-place rents. The business plan contemplates a hold period of 4 years with disposition upon achievement of target returns. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. The portfolio consists of detached single-family homes in a scattered-site pattern, each with attached garage and fenced yard. Distributions to investors for the quarter were paid at an annualized rate of 4.7% on contributed capital.

FICTITIOUS SAMPLE DOCUMENT — all names, figures and entities are invented for classroom training use only

Capital Project Schedule

Project	Category	Start	Completion	Budget	Spent to Date	Status
ADA compliance	Building	07/11/26	Q3 2027	$644,000	$68,485	Approved
Fire alarm panel upgrade	Building	09/05/26	Q4 2027	$876,000	$650,460	Complete
Security camera upgrade	Life Safety	12/17/23	Q1 2025	$35,000	$24,719	Approved
Landscape / irrigation	Life Safety	04/15/23	Q4 2027	$744,000	$523,311	Approved
Pool resurfacing	Site	02/16/24	Q4 2026	$139,000	$121,340	Approved
LED lighting retrofit	Site	11/03/23	Q3 2025	$666,000	$538,020	Complete
Door hardware	Interior	10/13/26	Q1 2025	$788,000	$418,750	Deferred
Fence replacement	Energy	10/10/26	Q1 2025	$464,000	$192,077	Complete
Security camera upgrade	Energy	12/06/26	Q2 2027	$859,000	$471,362	Approved
Landscape / irrigation	Site	08/02/24	Q1 2026	$317,000	$198,442	In progress
Signage / monument	Energy	11/12/24	Q2 2025	$17,000	$12,288	Complete
Signage / monument	Site	09/29/26	Q4 2025	$809,000	$9,842	Complete
Fire alarm panel upgrade	Site	03/18/25	Q3 2027	$896,000	$430,925	Approved
Storefront glazing	Site	10/31/26	Q1 2025	$833,000	$180,119	Approved
Pool resurfacing	Life Safety	10/30/23	Q4 2025	$286,000	$187,732	Approved
Landscape / irrigation	Life Safety	03/11/25	Q4 2025	$694,000	$290,580	Deferred
Exterior paint	Life Safety	02/08/24	Q2 2027	$731,000	$204,708	Bidding
Exterior paint	Site	06/06/24	Q2 2025	$32,000	$29,441	In progress
Door hardware	Building	10/17/25	Q2 2027	$388,000	$125,422	Complete
Exterior paint	Interior	07/12/23	Q1 2026	$156,000	$9,563	Bidding
Roof replacement - Bldg C	Site	01/28/25	Q4 2027	$307,000	$257,714	Bidding
Lobby renovation	Energy	09/05/23	Q3 2027	$607,000	$561,864	In progress
Signage / monument	Site	11/02/24	Q2 2027	$339,000	$78,360	Approved
HVAC replacement	Interior	08/02/24	Q3 2025	$458,000	$174,869	Deferred
Water heater replacement	Building	06/13/25	Q1 2026	$652,000	$260,865	Bidding
Water heater replacement	Interior	03/11/23	Q2 2026	$100,000	$41,574	In progress
Signage / monument	Life Safety	04/10/24	Q2 2026	$438,000	$344,331	Approved
Elevator modernization	Life Safety	12/16/24	Q4 2027	$702,000	$456,318	In progress
Sewer line repair	Site	05/06/25	Q4 2026	$822,000	$50,343	Bidding
Landscape / irrigation	Interior	11/27/23	Q3 2027	$683,000	$372,623	In progress
Storefront glazing	Interior	08/24/23	Q2 2027	$822,000	$736,327	Complete
Unit interior upgrades	Site	01/20/25	Q3 2026	$297,000	$211,184	Complete
Pool resurfacing	Energy	07/24/25	Q2 2027	$690,000	$492,493	Bidding
Sewer line repair	Energy	02/25/23	Q1 2025	$59,000	$24,587	In progress
Roof replacement - Bldg C	Energy	07/06/26	Q3 2027	$185,000	$82,226	Deferred
Door hardware	Energy	04/21/26	Q1 2027	$34,000	$15,007	Complete
Exterior paint	Site	11/02/23	Q3 2025	$859,000	$478,478	Approved
Fire alarm panel upgrade	Site	05/07/24	Q3 2026	$413,000	$13,561	In progress
LED lighting retrofit	Site	07/02/26	Q3 2025	$559,000	$568,930	Complete
Pool resurfacing	Building	10/12/23	Q1 2025	$855,000	$73,628	Deferred

Report generated 02/29/2024. Figures are unaudited and subject to change.

FICTITIOUS SAMPLE DOCUMENT — all names, figures and entities are invented for classroom training use only

Income and Expense Review

Homes average 1,831 square feet with average monthly rent of $2,759. Management fees are calculated at 6.9% of collected revenue and are included in operating expenses. Net operating income is projected to grow at a compound annual rate of 4.2% over the hold period. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Operating expenses totaled $136,000 or approximately 9.49 per square foot, with real estate taxes representing the largest line item.

Homes average 1,831 square feet with average monthly rent of $2,759. Net operating income is projected to grow at a compound annual rate of 4.0% over the hold period. The portfolio consists of detached single-family homes in a scattered-site pattern, each with attached garage and fenced yard. The going-in capitalization rate of 5.64% reflects the in-place income and the stabilized occupancy assumption. Turn costs average $308,000 per home, and the in-house maintenance team handles most work orders within 47 days.

Submarket Analysis

Investor demand for Single-Family Rental assets in Riverside remains strong with recent trades at capitalization rates between 5.81% and 5.81%. Rent growth in the submarket has averaged 7.3% annually over the past 7 years. The portfolio consists of detached single-family homes in a scattered-site pattern, each with attached garage and fenced yard. Homes average 1,831 square feet with average monthly rent of $2,759. New construction starts have decelerated due to higher financing costs and tighter lending standards, which supports the existing supply.

Rent growth in the submarket has averaged 7.8% annually over the past 10 years. New construction starts have decelerated due to higher financing costs and tighter lending standards, which supports the existing supply. Investor demand for Single-Family Rental assets in Riverside remains strong with recent trades at capitalization rates between 8.19% and 8.19%. Median household income within a 1-mile radius of the property is approximately $142,000 and has grown 7.2% annually. Market vacancy for comparable Single-Family Rental product stands at 10.7%, down from 4.9% two years ago.

Income and Expense Review

Homes average 1,831 square feet with average monthly rent of $2,759. The portfolio consists of detached single-family homes in a scattered-site pattern, each with attached garage and fenced yard. Debt service coverage ratio was 7.79x on a trailing basis against a covenant minimum of 1.20x. The going-in capitalization rate of 5.37% reflects the in-place income and the stabilized occupancy assumption. Net operating income is projected to grow at a compound annual rate of 5.7% over the hold period.

Operating expenses totaled $32,000 or approximately 17.86 per square foot, with real estate taxes representing the largest line item. Debt service coverage ratio was 5.60x on a trailing basis against a covenant minimum of 1.20x. Management fees are calculated at 7.0% of collected revenue and are included in operating expenses. Homes average 1,831 square feet with average monthly rent of $2,759.

Market Overview

Investor demand for Single-Family Rental assets in Riverside remains strong with recent trades at capitalization rates between 5.51% and 5.51%. Rent growth in the submarket has averaged 3.7% annually over the past 8 years. Turn costs average $348,000 per home, and the in-house maintenance team handles most work orders within 20 days. Homes average 1,831 square feet with average monthly rent of $2,759. The Riverside Single-Family Rental market has experienced absorption of 4200 thousand square feet or equivalent units over the trailing twelve months, outpacing new deliveries. New construction starts have decelerated due to higher financing costs and tighter lending standards, which supports the existing supply.

Employment growth is led by healthcare, logistics, education and professional services sectors. The portfolio consists of detached single-family homes in a scattered-site pattern, each with attached garage and fenced yard. The Riverside Single-Family Rental market has experienced absorption of 900 thousand square feet or equivalent units over the trailing twelve months, outpacing new deliveries. Pelican Cottages is located in Riverside, CA, a market that has recorded 11.2% population growth over the last five years. Turn costs average $172,000 per home, and the in-house maintenance team handles most work orders within 23 days.

Valuation Discussion

Homes average 1,831 square feet with average monthly rent of $2,759. Operating expenses totaled $456,000 or approximately 26.24 per square foot, with real estate taxes representing the largest line item. Debt service coverage ratio was 5.57x on a trailing basis against a covenant minimum of 1.20x. Turn costs average $201,000 per home, and the in-house maintenance team handles most work orders within 27 days. The going-in capitalization rate of 5.39% reflects the in-place income and the stabilized occupancy assumption.

FICTITIOUS SAMPLE DOCUMENT — all names, figures and entities are invented for classroom training use only

Annual Operating Budget by Account

Account	Prior Yr Actual	Prior Yr Budget	Current Budget	Variance $	Variance %	Per Unit/SF
5280 Landscaping Contract	$33,820	$33,087	$35,173	$1,353	4.0%	$366.39
5290 Snow Removal	$216,015	$226,371	$228,095	$12,080	5.6%	$2,375.99
5300 Janitorial	$33,018	$32,721	$32,903	-$115	-0.3%	$342.74
5310 Pest Control	$190,868	$178,669	$178,961	-$11,908	-6.2%	$1,864.17
5320 Trash Removal	$242,413	$240,963	$253,821	$11,407	4.7%	$2,643.97
5330 Elevator Contract	$209,551	$213,797	$214,874	$5,323	2.5%	$2,238.27
5340 Fire & Life Safety	$33,906	$34,383	$35,442	$1,536	4.5%	$369.19
5350 Security	$209,168	$196,938	$203,132	-$6,036	-2.9%	$2,115.96
5360 Electricity - Common	$229,979	$232,356	$239,027	$9,048	3.9%	$2,489.86
5370 Gas - Common	$222,764	$210,382	$216,956	-$5,808	-2.6%	$2,259.96
5380 Water & Sewer	$199,587	$208,914	$220,999	$21,412	10.7%	$2,302.08
5390 Telephone/Internet	$64,238	$63,619	$64,436	$198	0.3%	$671.21
5400 Advertising	$144,322	$152,681	$153,465	$9,143	6.3%	$1,598.59
5410 Resident Events	$240,932	$254,887	$268,141	$27,209	11.3%	$2,793.13
5420 Office Supplies	$100,371	$102,158	$104,648	$4,277	4.3%	$1,090.09
5430 Legal & Professional	$73,109	$68,882	$72,285	-$824	-1.1%	$752.97
5440 Accounting & Audit	$241,269	$258,530	$265,875	$24,606	10.2%	$2,769.53
5450 Licenses & Permits	$203,315	$209,727	$218,192	$14,877	7.3%	$2,272.84
5460 Management Fee	$101,335	$108,765	$112,257	$10,922	10.8%	$1,169.34
5470 Property Insurance	$12,424	$12,854	$13,159	$736	5.9%	$137.08
5480 Real Estate Taxes	$145,692	$151,871	$160,493	$14,801	10.2%	$1,671.80
5490 Asset Management Fee	$16,250	$16,969	$17,490	$1,240	7.6%	$182.19
5500 Replacement Reserves	$99,082	$100,141	$106,839	$7,756	7.8%	$1,112.91
5510 Roof Repairs	$38,933	$41,722	$42,476	$3,543	9.1%	$442.46
5520 Parking Lot Repairs	$78,425	$74,755	$77,568	-$857	-1.1%	$808.00
5530 Signage	$15,897	$16,004	$16,337	$440	2.8%	$170.18
5540 Tenant Improvements	$55,529	$57,831	$60,700	$5,171	9.3%	$632.29
5550 Leasing Commissions	$77,498	$74,999	$78,774	$1,276	1.6%	$820.56
5000 Gross Potential Rent	$64,689	$64,885	$65,208	$520	0.8%	$679.25
5010 Loss to Lease	$197,613	$202,916	$206,493	$8,880	4.5%	$2,150.96
5020 Vacancy Loss	$197,868	$186,731	$189,024	-$8,844	-4.5%	$1,969.00
5030 Concessions	$229,968	$214,556	$216,670	-$13,297	-5.8%	$2,256.98
5040 Bad Debt	$190,220	$177,555	$188,915	-$1,305	-0.7%	$1,967.87
5050 Late Fees	$82,267	$77,263	$79,731	-$2,536	-3.1%	$830.53
5060 Utility Reimbursements	$114,167	$108,972	$110,042	-$4,125	-3.6%	$1,146.27
5070 Parking Income	$175,184	$175,260	$179,647	$4,463	2.5%	$1,871.32
5080 Application Fees	$136,342	$125,847	$134,126	-$2,216	-1.6%	$1,397.15
5090 Pet Rent	$251,215	$240,926	$251,965	$750	0.3%	$2,624.63
5100 Laundry Income	$243,446	$235,734	$249,882	$6,437	2.6%	$2,602.94
5110 Cable/Internet Revenue	$32,304	$29,987	$30,760	-$1,544	-4.8%	$320.42
5120 CAM Reimbursements	$139,645	$138,657	$143,989	$4,345	3.1%	$1,499.89
5130 Tax Reimbursements	$205,547	$196,816	$207,117	$1,570	0.8%	$2,157.47

Report generated 02/29/2024. Figures are unaudited and subject to change.

FICTITIOUS SAMPLE DOCUMENT — all names, figures and entities are invented for classroom training use only

Business Plan Progress

Distributions to investors for the quarter were paid at an annualized rate of 7.9% on contributed capital. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. The portfolio consists of detached single-family homes in a scattered-site pattern, each with attached garage and fenced yard. Homes average 1,831 square feet with average monthly rent of $2,759. Projected levered IRR is 8.5% with an equity multiple of 1.19x over the hold period.

Leasing velocity improved during the period and management expects further upward pressure on in-place rents. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. Homes average 1,831 square feet with average monthly rent of $2,759. The portfolio consists of detached single-family homes in a scattered-site pattern, each with attached garage and fenced yard. Turn costs average $143,000 per home, and the in-house maintenance team handles most work orders within 28 days. The business plan contemplates a hold period of 3 years with disposition upon achievement of target returns.

Property Operations

On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 15 additional team members. Service requests are tracked through a work-order system with an average completion time of 41 hours. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. The manager completes a monthly walk of the property and submits a variance report to the owner by the 17th business day.

Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 21 additional team members. The manager completes a monthly walk of the property and submits a variance report to the owner by the 15th business day. Collections for the period were 89.2% of billed charges, with bad debt of 5.8% of gross potential income. Turn costs average $332,000 per home, and the in-house maintenance team handles most work orders within 32 days.

Investment Overview

Distributions to investors for the quarter were paid at an annualized rate of 6.8% on contributed capital. The business plan contemplates a hold period of 9 years with disposition upon achievement of target returns. Turn costs average $335,000 per home, and the in-house maintenance team handles most work orders within 29 days. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions.

Homes average 1,831 square feet with average monthly rent of $2,759. Distributions to investors for the quarter were paid at an annualized rate of 4.6% on contributed capital. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. Projected levered IRR is 10.4% with an equity multiple of 1.11x over the hold period. Turn costs average $475,000 per home, and the in-house maintenance team handles most work orders within 38 days.

Leasing and Marketing

Service requests are tracked through a work-order system with an average completion time of 45 hours. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Turn costs average $397,000 per home, and the in-house maintenance team handles most work orders within 30 days. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 44 additional team members. The manager completes a monthly walk of the property and submits a variance report to the owner by the 19th business day. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period.

The manager completes a monthly walk of the property and submits a variance report to the owner by the 8th business day. Service requests are tracked through a work-order system with an average completion time of 39 hours. The portfolio consists of detached single-family homes in a scattered-site pattern, each with attached garage and fenced yard. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period.

Business Plan Progress

Turn costs average $124,000 per home, and the in-house maintenance team handles most work orders within 40 days. Projected levered IRR is 2.7% with an equity multiple of 1.30x over the hold period. Leasing velocity improved during the period and management expects further upward pressure on in-place rents. Distributions to investors for the quarter were paid at an annualized rate of 8.0% on contributed capital. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. The business plan contemplates a hold period of 4 years with disposition upon achievement of target returns.

FICTITIOUS SAMPLE DOCUMENT — all names, figures and entities are invented for classroom training use only

Disclaimer and Confidentiality

No waiver of any provision shall be effective unless in writing and signed by the party against whom such waiver is sought. If any term is held invalid or unenforceable, the remaining terms shall continue in full force and effect. Each party represents that it has full power and authority to enter into and perform its obligations hereunder. All notices required or permitted hereunder shall be in writing and delivered by certified mail, nationally recognized overnight courier or electronic mail with confirmation of receipt. This document relates solely to Pelican Cottages and has been prepared for the use of the recipient only; it may not be reproduced or distributed.

This instrument shall be binding upon and inure to the benefit of the parties and their respective successors and permitted assigns. Each party represents that it has full power and authority to enter into and perform its obligations hereunder. If any term is held invalid or unenforceable, the remaining terms shall continue in full force and effect. Time is of the essence with respect to each and every provision of this instrument. This document relates solely to Pelican Cottages and has been prepared for the use of the recipient only; it may not be reproduced or distributed.

Each party represents that it has full power and authority to enter into and perform its obligations hereunder. The prevailing party in any action to enforce the terms hereof shall be entitled to recover reasonable attorneys' fees and costs. This instrument shall be binding upon and inure to the benefit of the parties and their respective successors and permitted assigns. Time is of the essence with respect to each and every provision of this instrument. This document relates solely to Pelican Cottages and has been prepared for the use of the recipient only; it may not be reproduced or distributed.

All notices required or permitted hereunder shall be in writing and delivered by certified mail, nationally recognized overnight courier or electronic mail with confirmation of receipt. Each party represents that it has full power and authority to enter into and perform its obligations hereunder. The prevailing party in any action to enforce the terms hereof shall be entitled to recover reasonable attorneys' fees and costs. This instrument shall be binding upon and inure to the benefit of the parties and their respective successors and permitted assigns. This document relates solely to Pelican Cottages and has been prepared for the use of the recipient only; it may not be reproduced or distributed.

The prevailing party in any action to enforce the terms hereof shall be entitled to recover reasonable attorneys' fees and costs. Notwithstanding anything to the contrary contained herein, the parties agree that the foregoing shall be construed in accordance with the laws of the State of CA. No waiver of any provision shall be effective unless in writing and signed by the party against whom such waiver is sought. This instrument shall be binding upon and inure to the benefit of the parties and their respective successors and permitted assigns. This document relates solely to Pelican Cottages and has been prepared for the use of the recipient only; it may not be reproduced or distributed.

Notwithstanding anything to the contrary contained herein, the parties agree that the foregoing shall be construed in accordance with the laws of the State of CA. No waiver of any provision shall be effective unless in writing and signed by the party against whom such waiver is sought. If any term is held invalid or unenforceable, the remaining terms shall continue in full force and effect. Each party represents that it has full power and authority to enter into and perform its obligations hereunder. This document relates solely to Pelican Cottages and has been prepared for the use of the recipient only; it may not be reproduced or distributed.

FICTITIOUS SAMPLE DOCUMENT — all names, figures and entities are invented for classroom training use only